

TOP 30 ENTREPRENEURSHIP MCQS

Based on Exam Frequency & Repetition Trend | Analyzed by Luffy

1. The business of a partnership firm can be carried on by all partners or any one partner acting for all. This indicates:

A. Agreement | B. Implied authority | C. Mutual agency | D. Utmost good faith

Correct Answer: C. Mutual agency

2. Which form of business is suitable when an entrepreneur wants full control with small capital?

A. Public Company | B. Private Company | C. Partnership | D. Sole Proprietorship

Correct Answer: D. Sole Proprietorship

3. Which business organisation usually has limited area of operation due to limited finance and managerial ability?

A. Sole Proprietorship | B. Partnership | C. Private Company | D. Public Company

Correct Answer: A. Sole Proprietorship

4. A business opportunity is an economic idea implemented to create:

A. Customers | B. Competitors | C. Business enterprise | D. Economic environment

Correct Answer: C. Business enterprise

5. Which of the following are elements of business opportunity?

(i) Assured market scope (ii) Practicability of idea (iii) Potential future growth

A. (i) & (ii) | B. (i), (ii), (iii) | C. (ii) & (iii) | D. Only (iii)

Correct Answer: B. (i), (ii), (iii)

6. Changing product design due to competitor technology represents:

A. Trading idea | B. Existing product based idea | C. Service idea | D. Market driven idea

Correct Answer: D. Market driven idea

7. Rainwater storage device developed after observing water wastage is an example of:

A. Market driven idea | B. Natural resource idea | C. Service idea | D. Creative effort

Correct Answer: B. Natural resource idea

8. Pricing method where goods are sold at high price to recover R&D cost:

A. Penetration pricing | B. Cost plus pricing | C. Variable pricing | D. Skimming pricing

Correct Answer: D. Skimming pricing

9. Setting price lower than market price to attract customers is:

A. Cost plus pricing | B. Penetration pricing | C. Skimming pricing | D. Variable pricing

Correct Answer: B. Penetration pricing

10. Which of the following is NOT a below-the-line promotion?

A. Personal selling | B. Direct marketing | C. Sales promotion | D. Advertising

Correct Answer: D. Advertising

11. Door-to-door selling by salespersons represents:

A. Two level channel | B. Three level channel | C. Zero level channel | D. One level channel

Correct Answer: C. Zero level channel

12. State Bank of India symbol represents:

A. Logo | B. Brand | C. Brand name | D. Tagline

Correct Answer: A. Logo

13. Which is NOT a component of a brand?

A. Brand name | B. Brand mark | C. Trademark | D. Tagline

Correct Answer: D. Tagline

14. Part of business plan describing ownership type:

A. Production plan | B. Operational plan | C. Organisational plan | D. Marketing plan

Correct Answer: C. Organisational plan

15. Business plan part that converts raw material into finished product:

A. Production plan | B. Operational plan | C. Marketing plan | D. Organisational plan

Correct Answer: A. Production plan

16. Selling shares privately to institutional investors without public disclosure is:

A. Public issue | B. Rights issue | C. Private placement | D. Offer to employees

Correct Answer: C. Private placement

17. Return on investment helps in measuring:

A. Demand level | B. Profitability | C. Stock level | D. Market share

Correct Answer: B. Profitability

18. Acquiring majority shares after failing friendly acquisition is:

A. Friendly acquisition | B. Hostile acquisition | C. Reverse acquisition | D. Back flip acquisition

Correct Answer: B. Hostile acquisition

19. Merger of companies in same supply chain but not competitors is:

A. Horizontal merger | B. Vertical merger | C. Market extension merger | D. Product extension merger

Correct Answer: B. Vertical merger

20. Mergers and acquisitions are considered:

A. Internal expansion strategy | B. External growth strategy | C. Market failure | D. Product strategy

Correct Answer: B. External growth strategy

21. Re-order level depends mainly on:

A. Demand rate | B. Lead time | C. Stock level | D. Both A & B

Correct Answer: D. Both A & B

22. Economic Order Quantity helps in:

A. Minimising inventory cost | B. Increasing demand | C. Improving branding | D. Marketing planning

Correct Answer: A. Minimising inventory cost

23. Rules of advertising planning include:

(i) Aim (ii) Target (iii) Media

A. Only (i) | B. (i) & (ii) | C. (i), (ii), (iii) | D. All including competitors

Correct Answer: C. (i), (ii), (iii)

24. Demand assessment depends mainly on:

A. Technology | B. Size of target market | C. Transport delays | D. Operation level

Correct Answer: B. Size of target market

25. Patents provide:

A. Permanent ownership | B. Limited exclusive rights | C. Trademark protection | D. Branding rights

Correct Answer: B. Limited exclusive rights

26. Sales promotion focuses on:

A. Long term brand loyalty | B. Short term incentives | C. Customer satisfaction | D. Market analysis

Correct Answer: B. Short term incentives

27. Consolidation of two companies to fight competition is:

A. Diversification | B. Merger | C. Joint venture | D. Acquisition

Correct Answer: B. Merger

28. Gross working capital includes:

A. Current assets only | B. Current liabilities only | C. Fixed assets | D. Long term liabilities

Correct Answer: A. Current assets only

29. Personal selling mainly involves:

A. Mass marketing | B. Direct customer interaction | C. Advertising media | D. Online promotion

Correct Answer: B. Direct customer interaction

30. Brand helps mainly in:

A. Cost reduction | B. Product identification | C. Inventory control | D. Legal ownership

Correct Answer: B. Product identification

★ **Exam Tip:** Analysis of the papers shows that Pricing strategies, Business organisation models, Mergers & acquisitions, and Business plan components have the highest MCQ probability.